STIVEN CATALYST

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MANAGEMENT REVIEW

Management without theatre.



STRATEGY

CHANGE THAT LASTS: THE TRUTH ABOUT “70% FAIL”

Where the 70% came from, what Kotter saw in a hundred companies, what executives report in surveys, what makes people open to change, and a card for a change that has to last.

≈70% of all change initiatives fail, wrote Beer and Nohria, citing no evidence. A 2011 review found no valid evidence for the figure.

BEER & NOHRIA, 2000

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Few management claims are repeated as often as “70% of change efforts fail”. Where did the figure come from, what does the evidence actually say, and what makes a change last once the project has ended?

In 1993 Hammer and Champy gave an “unscientific estimate” that up to 50–70% of organisations that start reengineering miss the dramatic results they intended. In 2000 Beer and Nohria wrote, without evidence, that about 70% of all change initiatives fail; in 2011 Mark Hughes found no valid evidence for the figure. Kotter, who followed more than a hundred companies, gave no overall failure rate. In McKinsey's 2015 survey, 26% of executives said their transformation had improved performance and kept the gains.

Stiven Janaqi EDITOR · STIVEN CATALYST

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HOW TO READ THIS ISSUE

Figure
Every figure has its source and year at the foot of its page.

Our reading
Where the editors interpret rather than the research, it says so.

Practice
The steps and the card are proposals to try, not research results.

COVER STORY

Where 70% came from

The figure has a history. It began as a cautious estimate about one kind of change and ended up as a rule about all of them.

1993

Hammer and Champy, Reengineering the Corporation: an "unscientific estimate" that up to 50–70% of organisations that start reengineering miss the dramatic results they intended.

1995

Kotter, in Harvard Business Review, after following more than 100 companies: a few very successful, a few utter failures, most in between. No overall rate.

2000

Beer and Nohria, in Harvard Business Review: about 70% of all change initiatives fail. No source is given.

2011

Mark Hughes, Journal of Change Management: no valid and reliable empirical evidence supports the figure.

Missing the dramatic results intended is not the same as failing, and reengineering is only one kind of change. Between 1993 and 2000 both distinctions were lost.

OUR READING

The 70% says more about how management ideas travel than about change. When someone quotes it, ask: failed at what, and measured how?

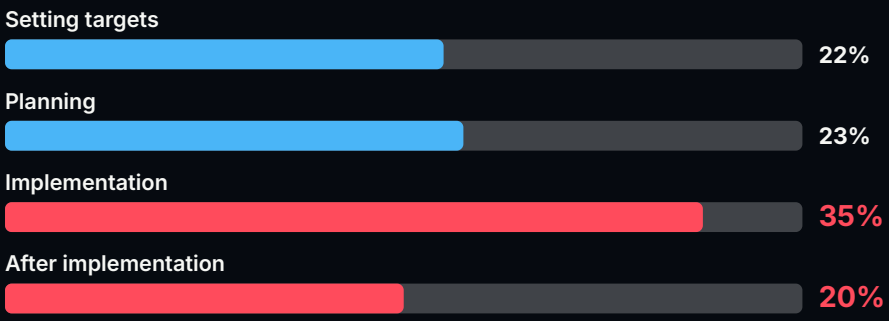
Sources: Michael Hammer & James Champy, HarperBusiness, 1993 (via Quotations in later summaries); John P. Kotter, Harvard Business Review, 1995; Michael Beer & Nitin Nohria, Harvard Business Review, 2000; Mark Hughes, Journal of Change Management, 2011 (via Abstract (University of Brighton))

THE NUMBERS

What executives report

For years McKinsey has asked executives how their transformations went. The answers are their own assessments, and each survey defines success in its own way.

WHERE THE LOST VALUE OF A TRANSFORMATION GOES, AS RESPONDENTS ESTIMATE IT (2021)



26%
said their transformation improved performance and kept the gains (2015; 20% in 2012)

79%
said so among those who followed a rigorous approach and completed every action

OUR READING

More than half of the lost value goes during and after implementation. The weak part is rarely the plan; it is carrying it out and keeping it.

Sources: McKinsey & Company, 2021 (via Excerpts, through web search); McKinsey & Company, 2015 (via Excerpts, through web search)

These are executives' own assessments rather than measured results, and we have not seen the sample sizes.

THE MODEL

Eight errors

Kotter gave no failure rate. He described the errors he saw most often, in the order a change runs into them.

Getting started

1 Not enough urgency

2 A guiding coalition that is not strong enough

3 No vision

4 The vision communicated far too little

Carrying it through

5 Obstacles not removed

6 No short-term wins planned

7 Victory declared too soon

8 Changes not anchored in the culture

Well over half of the companies he followed failed at the first step. Urgency is enough, he wrote, when about 75% of the management is honestly convinced that business as usual is unacceptable. A review in 2012 found support for most of the steps one by one, but no formal test of the whole model.

OUR READING

Kotter's list is a map of where change breaks, not a proof of how it succeeds. Read that way, it earns its place.

Sources: John P. Kotter, Harvard Business Review, 1995; Steven H. Appelbaum et al., Journal of Management Development, 2012 (via Abstract)

More in the essay The first 30 days: how I read an operation I do not know

WHAT THE RESEARCH SAYS

What opens people to change

Connie Wanberg and Joseph Banas followed 130 US public-housing staff through a large reorganisation of their sector and asked who stayed open to the changes.

01	**Information**	Those who were told about the changes were more open to them.
02	**Confidence**	Those who felt able to cope with the changes were more open.
03	**A say**	Those who took part in decisions about the changes were more open.

Lower acceptance went with less job satisfaction, more irritation and a stronger intention to leave. In McKinsey's 2015 survey, continuous-improvement activities went with roughly twice the odds that results lasted.

OUR READING

A change lasts in the people who carry it. Information, confidence and a say cost little next to a change that has to be made twice.

Sources: Connie R. Wanberg & Joseph T. Banas, Journal of Applied Psychology, 2000; McKinsey & Company, 2015 (via Excerpts, through web search)

130 people and questionnaires; McKinsey's figures are self-reports, and we have not seen their sample sizes.

HOW IT IS MEASURED

Measure after the project

A change is usually measured when the project closes. Whether it lasted shows later, when nobody is watching any more.

1. **Name the result and the date**
   One number the change should move, and by when.
2. **Measure before**
   Four weeks of the old way, so the starting point is known.
3. **Measure at the end**
   On the day the project closes.
4. **Measure again at 3, 6 and 12 months**
   Until a change takes root, Kotter warned, it can slide back.

HYPOTHETICAL EXAMPLE, A NEW HANDOVER ROUTINE

Before	6 of 10 handovers complete
Project end	9 of 10
3 months	9 of 10
6 months	7 of 10

The slide at six months is the signal to act again. The numbers are made up.

Source: John P. Kotter, Harvard Business Review, 1995

Steps and example: the editors.

TOOL OF THE ISSUE

The change card

One card for one change. Fill it in before the change starts, and look at it again on each check date.

01 What changes in one sentence, and the number that should move

02 Why now what happens if nothing changes

03 Who leads the people who carry it, and who decides

04 What people need information, the confidence to cope, a say in decisions

05 First win something visible within weeks

06 Check dates project end, then 3, 6 and 12 months

Sources: John P. Kotter, Harvard Business Review, 1995; Connie R. Wanberg & Joseph T. Banas, Journal of Applied Psychology, 2000

Proposed by the editors, after Kotter's eight errors and the findings of Wanberg and Banas.

SOURCES AND METHOD

Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

Reengineering the Corporation: A Manifesto for Business Revolution
Michael Hammer & James Champy, HarperBusiness, 1993 · via Quotations in later summaries

Leading Change: Why Transformation Efforts Fail
John P. Kotter, Harvard Business Review, 1995
https://hbr.org/1995/05/leading-change-why-transformation-efforts-fail-2

Cracking the Code of Change
Michael Beer & Nitin Nohria, Harvard Business Review, 2000
https://hbr.org/2000/05/cracking-the-code-of-change

Do 70 Per Cent of All Organizational Change Initiatives Really Fail?
Mark Hughes, Journal of Change Management, 2011 · via Abstract (University of Brighton)
https://doi.org/10.1080/14697017.2011.630506

Losing from day one: Why even successful transformations fall short
McKinsey & Company, 2021 · via Excerpts, through web search
https://www.mckinsey.com/capabilities/people-and-organizational-performance/our-insights/successful-transformations

How to beat the transformation odds
McKinsey & Company, 2015 · via Excerpts, through web search
https://www.mckinsey.com/capabilities/people-and-organizational-performance/our-insights/how-to-beat-the-transformation-odds

Back to the future: revisiting Kotter's 1996 change model
Steven H. Appelbaum et al., Journal of Management Development, 2012 · via Abstract
https://doi.org/10.1108/02621711211253231

Predictors and outcomes of openness to changes in a reorganizing workplace
Connie R. Wanberg & Joseph T. Banas, Journal of Applied Psychology, 2000
https://doi.org/10.1037/0021-9010.85.1.132

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked “via”. The editors' interpretation is marked “Our reading”. Figures that could not be confirmed are not in the issue.



MANAGEMENT REVIEW

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Every issue, one management question, checked against the best research.

ALL ISSUES

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